

THE FEDERAL MARITIME COMMISSION

TCW, INC.,

Claimant,

v.

EVERGREEN SHIPPING AGENCY
(AMERICA) CORPORATION, et ano.,

Respondents.

Docket No. 1966(I)

RESPONDENTS' SUPPLEMENTAL
BRIEF

[Re: Commission's April 26, 2021 Order
for Supplemental Briefing]

TERMS AND ABBREVIATIONS

"A.I.C."	means the Amended Informal Complaint.
"B.C.O."	means Beneficial Cargo Owner which, in this case was Yamaha Motor Company, Ltd.
"Evergreen Addendum" . . .	refers to <i>Respondents' Exhs. 4-5</i> (The Evergreen Line UIIA Addendum).
"Evergreen-Agent"	means Respondent, Evergreen Shipping Agency (America) Corporation.
"Evergreen-Principal". . .	means Respondent, Evergreen Line Joint Service Agreement, F.M.C. No. 011982, d.b.a. Evergreen Line.
" I.D. "	means the Initial Decision.
"I.E.P."	means independent equipment provider.
" I.R. "	means The Interpretive Rule on Demurrage and Detention Under the Shipping Act effective 5/18/2020.
" UIIA "	refers to <i>Respondents' Exh. 1</i> (The Uniform Intermodal Interchange and Facilities Access Agreement). <i>Exhs. 2-3</i> are the signature pages.
"PTA"	Refers to <i>Respondents' Exh. 7</i> (The Preferred Trucker Agreement.

EXTERNAL LINK SECURITY

- Links to the F.M.C. 2d Reports direct to the F.M.C. website.
- Links to federal cases direct to [Google Scholar](#) which reports federal and state court decisions. *Tinoco v. U.S.*, [19-cv-0712](#) (Text preceding Sect. IV) (D.N.M. 2020).
- Links to the [I.D.](#) and the [docket for this case](#) direct to the F.M.C. website.
- Links to the [I.R.](#) direct to the Federal Register website.
- Links to the U.S. Code and C.F.R. direct to the Cornell Law School website.
- Links to the UIIA direct to the UIIA.org website.

All website links in this supplemental brief were last accessed May 25, 2021.

INTRODUCTION

This Brief assumes familiarity with the record described at [I.D.](#), p. [11](#), *Part III*.

The Commission's [docket for this case](#) does not include Respondents' requested clarification of the [I.D.](#) given by the S.C.O. in an email dated February 24, 2021. *See, Addendum.* Respondents ask that the clarification be made part of the record.

Respondents waive none of the arguments made in prior submissions.

This Brief will address the Commission's questions in order of importance.

COMMISSION'S QUESTION 2

Section 41102(c) elements. The Commission is interested in the parties' views on (a) what acts or omissions are alleged to be unreasonable, (b) whether those acts or omissions occurred on a normal, customary, and continuous basis, and (c) whether those acts or omissions are unreasonable. Regarding reasonableness, the Commission is particularly interested in arguments regarding application of the interpretive rule on demurrage and detention.

RESPONDENTS' ANSWER 2

(a) Acts or omissions alleged to be unreasonable

1. The A.I.C. identifies three:

(No.1) Invoicing per diem to Claimant for holidays, weekends, and temporary port closures due to Covid-19 when Claimant had no ability to return the equipment; and

(No.2) Invoicing Claimant rather than the B.C.O. for per diem on carrier haulages where free time is negotiated directly with the B.C.O. and the B.C.O. is allegedly better able to audit the invoices; and

(No. 3) Invoicing Claimant rather than the B.C.O. for chassis fees past four days free time at \$20/day (negotiated by the B.C.O.) when more economical choices are allegedly available in the market.

A.I.C., Section III and p. 4, 1st para., last 2 lines.

(b) Are they normal, customary, and continuous? (No)

2. The new demurrage and detention rules do not apply to isolated instances. See, 46 CFR [545.4\(b\)](#). Yet, Claimant has identified only one specific instance of the conduct alleged at Section III of the A.I.C. That would be the direct invoicing of Claimant for per diem for the 2020 Memorial Day weekend. See, *A.I.C., Sections IV – VII*.

3. In the absence of a factual showing of normal, customary, and continuous violations by Respondents, the *I.D.* at pp. 22-23 relies instead on the provisions of the PTA and the Evergreen Addendum combined with Respondents' stated intent to bill Claimant for allowable per diem. This is said to satisfy the normal, customary, and continuous requirement.

4. We respectfully take issue with that rationale. Rule [545.4\(b\)](#) is explicit that the prohibited acts or omissions must be “occurring” not merely possible or contemplated. They must be “often repeated, systematic, uniform, habitual.” *I.D.*, p. [23](#), *3d full para*. Single instances do not amount to a [41102\(c\)](#) violation. See, *I.R.*, p. [29662](#), *main text at n. 384*. The purpose of the new rule is to reverse the fairly recent trend of allowing singular or isolated incidents to be the basis for an award of damages.

(c) Whether those acts or omissions are unreasonable (No)

5. The Commission has 7 criteria for determining the reasonableness of carrier per diem policies. 46 C.F.R. [545.5](#). On the facts of this case, three of them are inapplicable: (i) cargo availability, (ii) notice of cargo availability, and (iii) Government inspections.

6. The Claimant has raised no issue as to two others: (iv) demurrage and detention policies,^[1] and (v) transparent terminology.

7. The only issues raised are as to

- (a) Empty container return and the incentivizing principle. (Complained of Act No. 1) 46 C.F.R. [545.5\(c\)\(1\)](#) and (c)(2)(ii). And,
- (b) The billing arrangement chassis fees (Complained of Acts No. 2 and 3 (presumably raised under 46 C.F.R. [545.5](#) (f)).

¹ This factor has to do with matters such as whether per diem policies are sufficiently set forth and reflect actual practice. Claimant has not made that an issue.

**(Complained of Act No. 1):
Invoicing per diem to Claimant for holidays, weekends,
and temporary port closures due to Covid-19 when
Claimant had no ability to return the equipment**

8. The reasonableness of a practice or regulation is judged, not just by [545.5\(c\)\(2\)\(ii\)](#) but also by [545.5\(f\)](#) which says:

Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.

9 According to the [I.R.](#), each [41102\(c\)](#) claim is to be decided on the particular facts of the case; and application of the Incentive Principle must vary according to those particular facts. [I.R.](#), p. [29641](#), main text at ns. 45-46. Not only has Claimant failed to carry its burden of proof to demonstrate unreasonableness, but the S.C.O has misapplied the Interpretive Rule by focusing only on the Incentive Principle and failing to properly weigh other relevant facts in the reasonableness analysis.

10. The I.D. reads the Incentive Rule [[545.5\(c\)\(2\)\(ii\)](#)] to have universal application to any day in which a trucker is prevented from returning equipment only because the Port is closed as part of its regular hours of operation. That construction was urged on the Commission which explicitly declined to accept it in the Interpretive Rule, opting instead for a case by case analysis. In other words, the Incentive Principle analysis begins but does not end with [545.5\(c\)\(2\)\(ii\)](#). It must necessarily include a [545.5\(f\)](#) analysis or else there would have been no reason for the Commission to decline a one-size fits all rule. Respondents submit the following facts.

11 **Fact No. 1:** This is not a case in which the Evergreen equipment could not be returned. After out-gating on April 28th [[I.D.](#), p. [9](#), para. 23], Claimant had 18 weekdays when it could have made the return and avoided the disputed three day per diem charge. It failed to do

so for reasons having nothing to do with Evergreen-Principal or the Port. To the contrary, as the [I.D.](#) points out at pp. [24](#) and 25, Claimant essentially admits that the reason for the failure to return the equipment was that it was stuck in the B.C.O.'s facility. Given that Claimant was the B.C.O.'s "preferred trucker," and Claimant obtained the Evergreen business at the behest of the B.C.O., one would think that Claimant would have asserted some due diligence to try to get the B.C.O. to release the equipment sooner. No such effort was ever shown.

12. **Fact No. 2:** This is also not a case in which the Port suffered an unplanned and unannounced closure during regular business hours. The Saturday closing was a change in the Port's regular hours of operation and was announced in advance to the shipping public including Claimant. *Resp. Exh. 8*. This was not in any way a force majeure event or some equivalent that could not be guarded against or overcome. In no way could the Saturday closure be compared with a storm as the [I.D.](#) does at page [27](#) (6th para. beginning "Ocean carriers ...") There was complete transparency.

13. **Fact No. 3:** Whatever argument might be made that weekend and holiday demurrage gives no added incentive to consignees to make a timely *pickup* of their *undelivered* containers, the same cannot be said of consignees who are holding on to carrier equipment far beyond free days. We believe it self-evident that a consignee holding on to a carrier container past free time will have far less incentive to make a return before a three-day Memorial Day weekend if the penalty for not doing so is \$0.00 than if it is \$450.00.

The global container shortage, which resulted from cargo owners essentially slow-steaming the return of boxes, was one of the key factors in the larger container shipping breakdown that materialized last fall and is expected to continue well into 2021,

Journal of Commerce, “[Trans-Pacific carriers aim to curb free time in annual contracts](#),” (Feb. 8, 2021) (Link is to the *Journal of Commerce* website.).

14. **Fact No. 4:** The free time for the subject container was 21 days—generous by any standard. *I.D.*, p. 9, para. 22. Although the chassis had only 4 free business days plus the day of delivery, its \$20/day per diem was minimal compared with the daily \$150 per diem for containers. *I.D.*, p. 10, para. 30. Claimant made no effort to show why it could possibly take so long to unstuff a container. The disputed per diem is not unreasonable given the unduly lengthy period the equipment was kept out.

15. **Fact No. 5:** The container and chassis were interchanged out of the Port on April 28, 2020. They were not ingated until May 26th, some 28 days later. *I.D.*, p. 9, para. 23. No acceptable excuse for the delay has ever been offered. Respondents submit that the lengthy free time plus the amount of time the equipment was kept out beyond that should be factored into the analysis in Respondents’ favor that charging per diem for the Memorial Day weekend was not unreasonable.

16. **Fact No. 6:** There are several sources from which Claimant could have obtained chassis for the move.

- (a) From the ocean carrier as Claimant did in this case; or
- (b) From an I.E.P.; or
- (c) By making a capital investment and purchasing chassis like the ocean carriers and I.E.P.s had previously done and which is the common practice in most ports outside the U.S.

17. The uncontroverted evidence submitted by Respondents shows that obtaining use of a chassis from Respondent was substantially more economical than obtaining one from an I.E.P. at Savannah.

- (a) An I.E.P. charges a usage fee for everyday the chassis is out. It does not matter whether or why the Port might be inaccessible on any given days, the usage fee must be paid.
- (b) By comparison, Claimant paid no usage fee to Respondents. It had the benefit of free time and only paid per diem once free time expired.
- (c) Evidence submitted to the S.C.O. showed that it was significantly cheaper to use an Evergreen chassis than one supplied by an I.E.P., especially when free time is taken into account as well as the fact that the Evergreen per diem late charge was \$20 per day as opposed to the I.E.P.s' published daily chassis use rate running from day of delivery until date of return was \$27 per day for DCLI and TRAC, and \$20 per day for FLEXI. *See, Respondents' Brief of 01/25/2021 at p. 9, paras. 17-18 and Resp. Exh. 17.*

18. If the Commission bars ocean carriers from charging per diem on days that are outside the Port's regular hours of operation—when I.E.P.s may still charge usage—there will likely be only two results:

- (a) The limited number of ocean carriers such as Evergreen that provide chassis free of charge for initial free time periods of 5 business days (day of delivery plus 4 additional business days) will be forced to stop supplying chassis, leaving the field to I.E.P.s; and

- (b) Consignees, land carriers, and intermediaries will continue to pay usage to I.E.P.s for equipment running from day of delivery up to redelivery regardless of port closures,

19. **Fact No. 7:** Subject to exceptions not applicable here:

. . . the Commission has held that “[p]ersons importing merchandise may reasonably be assumed to have, or be able promptly to obtain, the equipment needed to receive it.

[I.R.](#), p. [29655](#) (*main txt at n. 261*).

20. Claimant holds itself out to, and does in fact, engage in business as a motor carrier. One who undertakes a job within his profession is presumed to have the tools needed to do the job. That was not the case here. A chassis is indispensable to the task of transporting an import container overland to its final destination. Yet, Claimant undertook to do so without first having the chassis it needed. Instead, it opted to use an Evergreen chassis which it kept out for 28 days—far longer than the time reasonably needed to unload the container. Now it complains about paying 3 days per diem.

21. **Fact No. 8:** Also relevant to the reasonableness analysis is the [UIIA](#) in which Claimant agreed with Evergreen-Principal to be responsible for the B.C.O.’s per diem in the first instance, and to accept and pay per diem invoices from Evergreen-Principal.

22. One of the criteria that can be used to judge the reasonableness of per diem policies is the existence of dispute resolution policies and practices and regulation for per diem disputes. 46 C.F.R. [545.5\(d\)](#).

23. The [UIIA](#) contains such a Dispute Resolution and Binding Arbitration Process at at Section H and Exhibit D administered by highly qualified arbitrators.

24. **Fact No. 9:** To support its judgment, the [I.D.](#) makes a number of references to Evergreen-Agent ‘imposing’ the per diem charges on Claimant. [I.D.](#), p.1 (1st para.); p.15 (1st, 2d full paras.); p.16 (1st full para. and last Line); p.21 (Caption "a"); p.22 (1st, 3d and 5th paras.). We believe that is a mischaracterization.

25. The word “impose” means to extract or make applicable by force. See, e.g., [The Cambridge Dictionary](#) at “[impose](#).” Claimant’s obligation to pay per diem arose out of the PTA which Claimant freely signed (along with Evergreen-Principal and its B.C.O.) in order to get the business of hauling Evergreen shipped door cargoes overland to the B.C.O.’s facility. Claimant has never alleged that the PTA was the result of duress or undue influence. See, [I.D.](#), p. 7, 2d para. Evergreen-Agent never *imposed* any per diem charges. It did seek to *enforce* a contractual right to collect such charges, which is an entirely different matter.

26. **Fact No. 10:** [41102\(c\)](#) prohibits unreasonable “regulations and practices” which are tariff documents. See, 46 C.F.R. [520.2](#) (Definition of “Tariff”).” As far as Claimant was concerned, the per diem and billing arrangements were not regulations or practices. They were incorporated terms of a privately negotiated contract, the PTA. See, *Respondents’ Brief of 01-11-2021*, \p. 4. The arrangements were not binding on Claimant except that Claimant freely and willingly agreed to them in consideration of getting the Evergreen business of hauling containers from the Port of Savannah to the B.C.O.’s facility.

**(Complained of Act No. 2):
Invoicing Claimant rather than the B.C.O. for per diem
on carrier haulages where free time is negotiated directly
with the B.C.O. and the B.C.O. is allegedly better able to
audit the invoices**

27. Claimant's relevant "[Operations Circular #1](#)" (Link is to Claimant's web site.) has 2 provisions that are relevant:

- **Per Diem:** [Page 2](#), para. 17 of that Circular says that Claimant's per diem charges to all its customers (not just this B.C.O.) are, "the same as designated by the equipment lessor plus a 20% handling fee."
- **Chassis Usage:** [Page 3](#), para. 22 says:

Carrier will charge \$34 per day for any chassis from an equipment provider that charges for their use. No free days will be allowed.

By comparison, Claimant had the benefit of the B.C.O.'s free time and the Evergreen chassis per diem was only \$20 per day.

28. Regardless of whether the foregoing pass-alongs affected Claimant's standing [See *Respondents' Answer 3*, below], they are relevant to the issue of reasonability of the three-way billing arrangement between Claimant, Respondents, and the B.C.O. in that:

- (a) Claimant made no factual showing that reimbursement of 100% per diem along with a 20% markup, and charging its customers substantially higher chassis fees causes it damage qualifying as unreasonable or unjust; and
- (b) It refutes Claimant's pleading that the payment of per diem "serves only to benefit the Respondent." See, *A.I.C., Sect. III.a.*

29. Claimant argues that since free time/per diem provisions were negotiated with the B.C.O., Respondents should bill the B.C.O. for per diem, not Claimant. It reasons that the B.C.O. is "much better suited to audit and process any applicable per diem invoices." *A.I.C., Section III.b.* We find two problems with this argument:

- (a) Claimant made no factual showing that the B.C.O. is "better suited."

- (i) Since the Claimant had firsthand knowledge of the dates of interchange, the only information it needed to “audit” the per diem invoices were the correct rates. Claimant has detailed no history of difficulty or undue expense in obtaining the correct rates.
 - (ii) Claimant also showed no instances in which Claimant was incorrectly billed by Respondents.
- (b) In any event, on a claim under [41102](#)(c), the issue is *not* whether a given way of doing things is a best practice. The issue is whether it is unjust or unreasonable. Otherwise, the Commission then becomes a national board of directors passing upon the day-to-day operations of all its regulated entities.

30. As the I.D. reasoned, the fact that Claimant was reimbursed by the B.C.O. for the per diem along with a markup means that it failed to carry its burden of proving that the billing arrangement amounted to prohibited conduct. [I.D.](#) at pp. [31](#)-[32](#).^[2]

**(Complained of Act No. 3):
Invoicing Claimant rather than the B.C.O. for chassis
fees past four days free time at \$20/day (negotiated by
the B.C.O.) when more economical choices are allegedly
available in the market.**

31. Claimant makes two arguments involving chassis fees at *A.I.C., Section III.c and p. 4, 1st para., last 3 lines.*

² This is not to be confused with the separate issue of whether reimbursement of the paid per diem by the B.C.O. took away Claimant’s standing to sue for reparations. [I.D.](#) at p. [29](#) (1st 2 paras.) See, Respondents’ Answer to the Commission’s Question 3, below.

- (a) First, since the chassis fees are negotiated with the B.C.O., Claimant thinks that those fees, too, should be billed to the B.C.O. As to this argument, Claimant attempted no factual showing of unjustness or unreasonableness. It merely argued its own conclusion which is insufficient to carry its burden of proof.
- (b) Second, without mentioning the substantially higher fees it charges its own customers [*see, para. 27, above*] in the *A.I.C.*, Claimant contended that there are better and more economical alternatives in the market than Respondents' \$20/day per diem. *A.I.C., p. 4, 1st para., last 2 lines.* As to this argument, Claimant never questioned Respondents' showing that Claimant was free to use whatever chassis it wished. *I.D. at p. 9, para. 21.* Having freely chosen to use the Evergreen chassis—even if due to a mistaken assumption on its part—Claimant cannot now be heard to complain about the Evergreen chassis fees.

COMMISSION'S QUESTION 3

Relevance of TCW Pass-Through. Evergreen raised as a defense the fact that TCW passed on the per diem charges with a markup to the beneficial cargo owner. The Commission is interested in the parties' views on the relevance of TCW's pass-through given the Commission's decision in *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC 2019) and discussion of the direct purchaser rule and its corollaries.

RESPONDENTS' ANSWER 3

32. For the reasons explained below, Respondents argue that the Direct Purchaser Rule ("DPR") should not be applied in this case, and that Claimant, having been fully reimbursed by the B.C.O. has suffered no damages and has nothing to sue for. The *I.D.*'s

rationale that the B.C.O.’s reimbursement was not for the benefit of Evergreen-Principal [[I.D.](#) at p. [29](#), 4th para.] is error given that this was a three-way contract between and among Claimant, Evergreen-Principal, and the B.C.O. to accomplish a single purpose, and no grounds exist for severing the B.C.O.’s reimbursement.

The Roles of the Parties

33. Respondents dispute the applicability of the Direct Purchaser Rule (“DPR”) under *Vehicle Carrier Services*, [1 F.M.C.2d](#) 440:

- (a) Respondents did not act as a carrier in their dealings with Claimant;
- (b) Claimant was not a purchaser from Respondents; and
- (c) The rationale for applying a DPR does not exist in this case.

34. **Respondents did not act as a common carrier.** The [I.R.](#) says:

[N]ot everything an ocean carrier . . . does is within the Commission's purview—*an ocean carrier . . . must be acting as a common carrier . . . as defined by the Shipping Act with respect to the conduct at issue.*

[I.R.](#), p. [29650](#), main text at n. 190 (*emphasis added*). That was not the case here.

35. Interchanging containers or chassis to or from motor carriers is not conduct that qualifies one as a “common carrier” or “ocean common carrier” under the Shipping Act [40102](#)(7) or [535.104](#)(f) and (u). Evergreen-Principal wore two hats in this matter. It was an ocean common carrier in its relationship with the B.C.O., but not a common carrier in its relationship with Claimant. The concept is analogous to a Non-Vessel Operating Common Carrier which is a shipper in its relationship with the VOCC, but a carrier in its relationship with its shipper customer. See, 46 U.S.C. [40102](#)(17).

36. **Claimant not a purchaser.** This is also not a case in which Claimant purchased transportation services from Evergreen-Principal. Quite the opposite, Evergreen-Principal engaged Claimant as an independent contractor to perform Evergreen Line carrier haulage of B.C.O. cargoes overland from the Port of Savannah to the B.C.O.'s facility. That was the purpose of the PTA, and Claimant was paid for its transportation services.

37. The fact that Claimant obligated itself to pay per diem for late return of equipment as part of its carriage for Evergreen-Principal does not transform Claimant into a purchaser. The agreement regarding per diem was *incidental* to the *main* transaction which Evergreen Line's direct purchase of haulage services from Claimant. See, *Royal Insur. v. Amerford Air Cargo*, [654 F.Supp. 679](#), 681 (S.D.N.Y. 1987) (Carrier's temporary storage of cargo was *incidental* to its *main* business of carriage and did not transform it into a warehouseman).

38. **The rationale for applying the DPR is not applicable here.** Application of a DPR in anti-trust cases has been justified on the following grounds [see, *Vehicle Carrier Services*, [1 F.M.C.2d](#) at 445, 446.]:

- (a) The law does not inquire into later events, i.e., events after direct payment.
- (b) Any such inquiry would be pointless because parties further along the chain of transactions are not in privity with the anti-trust violator (here, the carrier).
- (c) The absence of contractual privity would deter aggrieved parties from pursuing anti-trust violators. And,
- (d) The DPR avoids the complex task of accurately and fairly apportioning damages among various parties along the distribution chain. [Id.](#)

39. **No Subsequent/Later Events:** Unlike the anti-trust cases (see, [Vehicle Carrier Services](#) [p. 446]), the three principals here [Evergreen-Principal, Claimant, and the B.C.O.] did not engage in back-to-back transactions. There were no remote causes or events. All three were engaged simultaneously in the same transactions involving delivery of B.C.O. cargo and return of Evergreen equipment.

40. **3-Way Privity of Contract Exists:** This is also not a case in which privity of contract is lacking among any of the 3 principals:

- (a) All three were signatories to the PTA which referenced the Service Contract and bill of lading between Evergreen-Principal and the B.C.O. The PTA required Claimant to be a signatory to the [UIIA](#).
- (b) Evergreen-Principal was party with the B.C.O. to the relevant Service Contract and bill of lading. Clauses 1(9) and 14(4) of the Evergreen-Principal bill of lading clauses made the B.C.O. liable for per diem.
- (c) Evergreen-Principal and Claimant were parties to the [UIIA](#) and Evergreen Addendum which also made Claimant liable for per diem.
- (d) The arrangement was a three way agreement governing the same transactions, i.e.:
 - (i) The transport of B.C.O.'s containerized cargoes from the Port of Savannah to the B.C.O.'s facility; and
 - (ii) The return of the Evergreen container and chassis.

41. **Evergreen-Principal's Benefit:** The I.D. reasons that that the reimbursement of Claimant was not for Evergreen-Principal's benefit so Evergreen-Principal can claim no rights arising out of it. [I.D.](#) at p. [29](#), 4th para.

- (a) This is not like a case in which a plaintiff's reimbursement results from some prior or subsequent transaction or arrangement to which the defendant is a stranger. In this case, the parties had a three way agreement the purpose of which was to accomplish the land carriage of the B.C.O.' cargo from the Port to the B.C.O.'s facility. Payment arrangements satisfactory to all parties were essential to such an agreement.
- (b) The agreement of the parties was that Evergreen-Principal would bill per diem to Claimant who would in turn be reimbursed by the B.C.O. Take away the B.C.O.'s obligation to reimburse Claimant, and the entire three-way Preferred Trucker arrangement collapses. There is nothing in the record to suggest that the parties ever considered the payment arrangements to be severable or that severability would have been practical.

42. **Pursuing Claims:** If there is no problem with privity of contract then there is no concern that a lack of privity may deter pursuing Shipping Act violation claims.

43. **Complex Damage Calculations:** Whatever may be the case with treble damages under anti-trust cases, damage calculations in Shipping Act reparation cases are not extraordinarily complex. Moreover, apportioning damages is not an issue here. If Evergreen-Principal is liable, the liability is joint and several to the Claimant and the B.C.O.

44. Where the reasons justifying application of a rule do not exist, the rule should not be applied. See, Calif. Civ. Code [3510](#) ("When the reason for a rule ceases, so should the rule itself.") (Citing Maxim of Jurisprudence) (Link is to Calif. Gov't web site).

COMMISSION'S QUESTION 1

Evergreen Agency Relationships. Evergreen sought dismissal of Evergreen Shipping Agency on the grounds that it was not a regulated entity subject to 46 U.S.C. § 41102(c). The SCO declined the request and found Evergreen Shipping Agency and Evergreen Line liable. The Commission is interested in the parties' views on that aspect of the Initial Decision, particularly what effect, if any, the dismissal of Evergreen Shipping Agency would have on the Commission's authority to adjudicate the claims against Evergreen Line, Evergreen Line's liability under § 41102(c), and the Commission's ability to provide relief to TCW if a violation were found.

RESPONDENTS' ANSWER 1

Respondents' Views on Evergreen-Agent's Liability

45. The [I.D.](#) says:

... because by law a principal is responsible for conduct of its agent in the performance of the agent's duties, *if reparations were found to be warranted, Evergreen-Principal, not Evergreen-Agent, would bear the cost of the award.*"

[I.D.](#), p. [15](#) (2d full para.) (*Emphasis added*). Nevertheless, the [I.D.](#) awards reparations against Evergreen-Agent without questioning its agency status or explaining the seeming contradiction. [I.D.](#), p. [33](#) (2d and 3d paras.). We submit for the following reasons that Evergreen-Agent can have no [41102](#)(c) liability.

46. [41102](#)(c) limits its coverage to common carriers, MTOs and OTIs. No mention is made of agents. 46 C.F.R. [545.4](#)(a) mirrors that limitation. When Congress means to impose a carrier's liability on an agent, it knows how to say so unambiguously. See, 46 U.S.C. [30701](#) (Chapter 307 – Liability of Water Carriers) (Defining "carrier" to include "agent.")). Moreover, Evergreen-Agent does not fit within the definitions of "Common Carrier" or "Ocean Common Carrier" at [40102](#)(7) and [535.104](#)(f).

Effect of Evergreen-Agent on Evergreen Principal's Liability

47. Respondent, Evergreen-Principal, stipulates that a regulated common carrier cannot avoid responsibility for a Shipping Act violation simply because the offending act was performed by the carrier's general agent acting within the scope of its agency. *I.D.*, p. 15 (2d full para.).

Liability of Evergreen-Agent

48. Citing to the *Action Embroidery* case, the *I.D.* relies on the Doctrine of Pendent Personal Jurisdiction to hold Evergreen-Agent liable under Section 41102(c). *I.D.*, p. 15 (2d full para.). However, the problem with the 41102(c) claim against Evergreen-Agent is not an absence of personal jurisdiction. Evergreen-Agent waived any objection to personal jurisdiction when it consented to having Claimant's claims adjudicated in this forum. *See, I.D.*, p. 3, 2d para. (last 2 sentences). The problem is that 41102(c) does not apply to non-carriers such as Evergreen-Agent. *See, para. 46, above.*

49. If anything, the absence here is one of subject matter jurisdiction. The existence of subject matter jurisdiction can sometimes turn on the status of one or more parties. For example, there is no diversity jurisdiction if the defendant is the same citizen as the plaintiff. 28 U.S.C. 1332(a)(1). Similarly, there is no subject matter jurisdiction over a claim for 41102(c) reparations if the respondent is not a nonregulated entity.^[3] Subject matter jurisdiction "is

³ This is not a case in which Claimant meant to claim against Evergreen-Agent as a regulated entity but failed to sufficiently plead or prove that fact. *See, A.I.C., at Sect. II.(1-2).* Claimant sued Evergreen-Agent as a non-regulated agent, a status outside of 41102(c). It was for that reason that Claimant brought Evergreen-Principal into the case. *I.D.* at p. 4, 1st full para.

limited by the constitution [sic] and Congress, and cannot be expanded by judicial interpretation or by the acts or consent of the parties to a case.” *I.D.*, p. 16, n.5, 1st para., last 2 lines.

50. The federal judicial doctrines of pendent jurisdiction—whether personal or subject matter—also require that there be at least one non-federal claim which, standing alone, a federal court lacks jurisdiction to decide. The *I.D.* identifies no non-41102(c) claim against Evergreen-Agent over which pendent jurisdiction could be asserted.^[4] The practices Claimant complains of comprise:

- Collecting per diem on days when the Terminal was closed, and
- Billing Claimant rather than the B.C.O. directly.

I.D., p. 2, last para. Those practices are not inherently tortious or criminal and, as far as an agent is concerned, they violate no law which the Commission has jurisdiction to enforce. See, 46 C.F.R. 501.2(a).

Effect of Dismissal of Evergreen-Agent:

Evergreen-Principal’s Liability under 41102(c) and F.M.C.’s Authority to Adjudicate Claims against Evergreen-Principal

51. Dismissal of Evergreen-Agent from this case would have no effect on Evergreen-Principal’s liability, if any, under 41102(c) or the Commission’s adjudicatory authority.

- (a) Claimant sues under 41102(c) which explicitly binds common carriers.
- (b) Evergreen-Principal has admitted that it is an ocean common carrier. *I.D.*, p. 8, para. 4.

⁴ That assumes—which we do not—that the Commission could ever have pendent jurisdiction to decide a claim outside its assigned jurisdiction.

- (c) There is privity of contract. Evergreen-Principal is a signatory with Claimant and the B.C.O. to the PTA. The PTA required Claimant to be a signatory to the [UIIA](#) and the Evergreen Addendum. *I.D.*, pp [8-9](#), paras, 10, 12.
- (d) Although Evergreen-Agent signed the [UIIA](#) and Addendum as a principal without any indication of agency, Evergreen-Principal is still a party to those agreements. *Restatement 3d of Agency*, 6.03 (3d 2006) quoted at *In Re Suffolk Regional Off-Track Betting Corp.*, [462 B.R. 397](#), 409 (E.D.N.Y. 2011). The [UIIA](#) and Evergreen Addendum do not exclude Evergreen-Principal.

**Effect of Dismissal of Evergreen-Agent:
Commission's Ability to Provide Relief to Claimant**

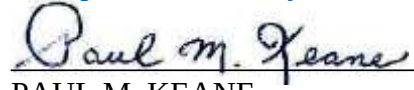
52. (a) Evergreen-Agent's status as general agent of Evergreen-Principal means that the former is subject to the control of the latter. *Hollingsworth v. Perry*, 570 U.S. 693, [133 S. Ct. 2652](#), 2666 (2013) (An essential element of agency is the principal's right to control the agent's actions.). Should the jurisdiction, per diem, and billing issues be resolved in Claimant's favor, the Commission can enter an appropriate order that Evergreen-Principal, *whether acting directly or through an agent*, cease and desist from whatever the Commission decides to prohibit.

Dated: May 26, 2021

Respectfully submitted,

CICHANOWICZ CALLAN KEANE & De MAY, LLP
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212-344-7042 pkeane@cckd-ny.com

By:



PAUL M. KEANE

Addendum

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

TCW, INC.,

Claimant,

v.

**EVERGREEN SHIPPING AGENCY
(AMERICA) CORPORATION, et ano.,**

Respondents.

Docket No. 1966(I)

**RESPONDENTS' REQUEST FOR
CLARIFICATION OF THE S.C.O.'s
FEB. 19, 2021 INITIAL DECISION AT
p. 33, 3RD FULL PARA.**

To Small Claims Officer: Theresa Dike;

1. The third full paragraph of page 33 of the February 19, 2021 Initial Decision reads:

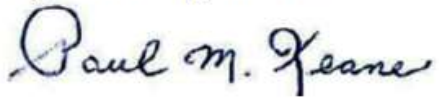
FURTHER ORDERED that absent extenuating circumstances Evergreen Shipping Agency (America) Corporation and Evergreen Line Joint Service Agreement cease and desist from imposing per diem charges when imposition of per diem charges does not serve its incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures.

2. Respondents are uncertain as to whether that paragraph means:
- (a) That per diem charges may not be imposed for any post-free time weekend day, holiday, or other day that the port is closed regardless of whether the motor carrier was ready, willing or able to return the equipment on that day; OR
 - (b) That per diem charges may not be imposed for any post-free time weekend day, holiday, or other day that the port was closed only if the motor carrier would have returned the empty on that day but was prevented from doing so only because the Port was closed.

Respondents respectfully request clarification.

Dated: February 23, 2021

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Attorneys for Respondents

By:  Paul M. Keane

From: Theresa Dike <tdike@fmc.gov>

Sent: Wednesday, February 24, 2021 3:08 PM

To: Paul Keane <pkeane@cckd-ny.com>

Cc: banks@tcwonline.com <banks@tcwonline.com>

Subject: RE: TCW v. Evergreen -- Docket No. 1966(I) -- Respondents' Request for Clarification

Mr. Keane:

Respondents' request for clarification was received. For clarification, please see Initial Decision at Page 31, stating in pertinent part:

Accordingly, Respondents are ordered absent extenuating circumstances, to cease and desist from imposing per diem charges when imposition of per diem charges does not serve its incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures. This order applies the language used in 46 C.F.R. § 545.5(c)(ii) and the Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act. **This order does not apply to situations when it was possible to return equipment on the day the per diem was charged.**

(emphasis added).

Thus, the answer is your paragraph 2(b) – “That per diem charges . . . if the motor carrier would have returned the empty on that day but was prevented from doing so only because the Port was closed.”

I hope this helps.

Theresa Dike
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